

investment goals.⁸ An alternative to this traditional approach is to allow more than one strategy, as discussed also by Jean Brunel: “Each strategy is linked to a goal and managed according to the risk measures and risk tolerance that are most appropriate for that goal. This approach, which we call goals-based investing, is compatible with mental accounting. Another advantage is that it manages the risk of not achieving goals rather than relying on traditional risk measures.”⁹

So, there are observable benefits of mental accounting. Practitioners, moreover, can often leverage this bias to the benefit of their clients. The next section outlines the practical application of an asset allocation strategy that can be used in this regard.

THE BEHAVIORAL FINANCE APPROACH TO ASSET ALLOCATION BASED ON MENTAL ACCOUNTING

Leveraging the power of mental accounting for the benefit of attaining financial goals, taking a behavioral finance or “goals-based” approach to asset allocation is helpful in order to keep financial goals in mind when creating a portfolio. I have found the following approach, outlined in Figure 10.1, and based on clients’ tendencies to put money in separate mental accounts, to be of tremendous value. What advisors should aspire to do is to get their clients focused on their needs and obligations, and make sure that they have enough of their portfolio carved out in capital preservation assets to meet

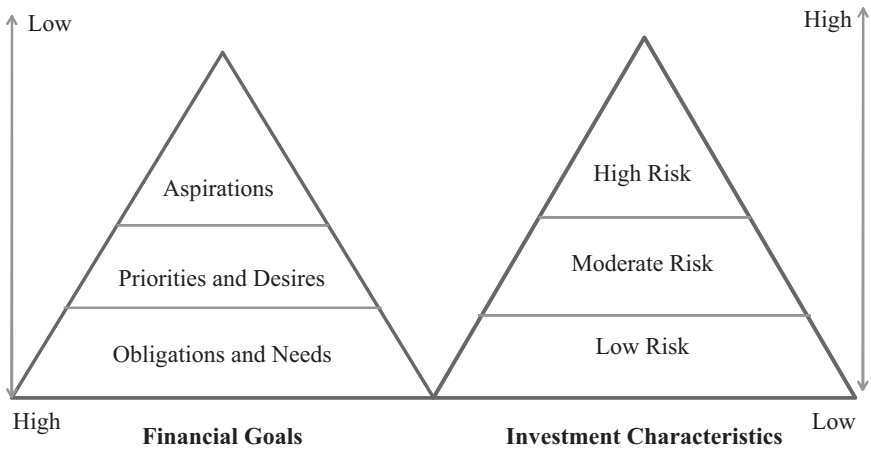


FIGURE 10.1 Behavioral Finance or Goals Based Approach to Asset Allocation